

CITY CONTRACT NO. _____

LEASE AGREEMENT FOR THE VAN TASSELL CARRIAGE HOUSE

THIS AGREEMENT, is made and entered into on the _____ day of _____, 2021, by and between the City of Cheyenne, a municipal corporation organized under the laws of the State of Wyoming, 2101 O'Neil Avenue, Cheyenne, Wyoming 82001, hereinafter referred to as the "City or Lessor," and the Cheyenne Artist Guild, Inc., a Wyoming not-for-profit corporation, 1701 Morrie Avenue, Cheyenne, Wyoming 82001, hereinafter referred to as the "Lessee."

WITNESSETH:

WHEREAS, the City has the authority under the laws of the State of Wyoming and the ordinances and resolutions of the City of Cheyenne to own real property and to lease such property upon terms and for such purposes as are in the public interest; and

WHEREAS, the Lessee desires to lease certain real property and improvements owned by the City that are shown in Exhibit A attached to this Agreement and that are hereinafter referred to as the "demised premises"; and

WHEREAS, the City is willing to lease the demised premises to the Lessee under the terms and conditions hereinafter set forth.

NOW, THEREFORE, for and in consideration of the premises and of the mutual covenants and agreements herein contained, the parties agree as follows:

1. **DEMISED PREMISES.** The City leases and demises unto the Lessee, and the Lessee hires and takes from the City, all of the demised premises, located at 1701 Morrie Avenue, also known as the Van Tassell Carriage House located in Holliday Park, situated in the County of Laramie, State of Wyoming, and shown in Exhibit A attached to this Agreement.

2. TERM. This Agreement shall be for a period of five (5) years and become effective at 12:00 midnight on the 1st day of June, 2021, and end at 12:00 midnight on the 31st day of May, 2026, unless sooner canceled or terminated as hereinafter provided. Upon written agreement between the parties, this Agreement may be extended for one additional term of five (5) years.

3. FEES. The Lessee covenants and agrees to pay, and the City reserves as base rent hereunder, the amount of Two Thousand Four Hundred Dollars (\$2,400.00) per year for the demised premises, payable on or before June 1 of each year. Rent shall be paid to the City Treasurer, Municipal Building, 2101 O'Neil Avenue, Cheyenne, Wyoming 82001.

4. USE OF PREMISES.

A. The Lessee shall have the right and privilege to occupy the demised premises as an art center and uses associated with the operation and promotion of the art center. The Lessee may, upon the demised premises, engage only in those activities that are legitimate uses and no other without the prior written permission of the City. The Lessee shall not use the demised premises for any unlawful purpose whatsoever. The Lessee shall not permit any nuisance to emanate from or exist upon the demised premises. In the event that the Lessee uses the demised premises for any inappropriate activity, the City may terminate this Agreement.

B. The use of the demised premises granted herein is not exclusive. The Lessee expressly agrees that other groups and individuals may request permission to use the demised premises. All such requests for permission to use the demised premises are subject to the Lessee's schedule of activities and subject to the further limitation that the requested use must not interfere with or otherwise impair the ability of Lessee to use the demised premises for legitimate Lessee's uses and activities. Groups or individuals may be granted permission to use the demised premises subject to existing policies and standards for use of the demised premises

including, but not limited to, payment of cleaning and damage deposits, site and facility user fees, and direct costs associated with the provision of access to the demised premises.

C. Groups and individuals seeking to use the demised premises for purposes other than official Lessee's uses and activities must enter into a property use agreement with the Lessee that shall define the terms and conditions of use of the demised premises and must provide general liability insurance with a policy limit of \$1,000,000, or more, with endorsements naming the Lessee and the City of Cheyenne as additional insureds. The Lessee shall provide to the City an advance copy of each property use agreement and insurance endorsement at least ninety-six (96) hours prior to the time that the outside user group intends to use or occupy the demised premises. The City must notify the Lessee of any deficiencies in the property use agreement or insurance endorsement at least forty-eight (48) hours prior to the time the outside user intends to use or occupy the demised premises. No group or individual shall be permitted to enter upon the demised premises until such time as the City has approved the property use agreement general liability insurance endorsement as required by this subsection.

D. Subject to the limitations stated in this section, neither the City nor the Lessee shall unreasonably withhold permission for other groups or individuals to use the demised premises.

5. LESSEE'S RESPONSIBILITIES.

A. The Lessee shall, at its expense:

i. Keep properly painted those parts of the interior of the buildings within the demised premises that are currently painted.

ii. Ensure the lights are turned on at night for the purposes of reasonable security and safety in the areas immediately surrounding the buildings on the demised premises.

iii. Keep the buildings on the demised premises in proper repair and provide routine maintenance on the demised premises. Routine maintenance includes, but is not limited to, repairs to walls, doors, windows, fixtures, carpeting, painting, and cleaning.

iv. Post escape plans as required by law on the demised premises.

v. When required by law or City ordinance, secure the services of a contractor licensed by the City of Cheyenne to perform routine maintenance and repairs on the demised premises. The Lessee agrees not to make any improvement, modification, or alteration of the demised premises without the express knowledge and written consent of the City of Cheyenne. All improvements made to the demised premises shall remain the property of the City at all times during the term of this Agreement and after its expiration.

6. SIGNS. The Lessee shall not erect, paint, or maintain any signs whatsoever upon the demised premises without the prior written consent of the City.

7. UTILITIES. The Lessee shall, at its sole cost and expense, pay utility charges for utilities that serve the demised premises, including electricity, gas, trash pickup, water, and sewer.

8. TAXES, LICENSES, DEBTS. The Lessee covenants and agrees to pay promptly all valid taxes, excises, license fees, permit fees, bills, debts, and obligations incurred by it in connection with its use and occupancy of the demised premises, and not permit the same to become delinquent. The Lessee shall not permit any lien, mortgage, judgment, or execution to be filed against the demised premises or improvements thereon that would in any way become a lien, encumbrance, or cloud on the City's title to the demised premises.

9. INCOME AND EXPENSE STATEMENT. The Lessee agrees to furnish to the City an annual income and expense statement for all operations conducted on the demised premises on or before January 1 of the following year.

10. INSURANCE.

A. The Lessee shall provide to the City of Cheyenne certificates of insurance verifying each type of insurance coverage listed below.

B. The certificate of insurance shall be submitted to and approved by the City of Cheyenne prior to the use or occupancy of the demised premises.

C. Type of Coverage	Minimum Limits
Commercial General Liability (Including Products and Completed Operations; Explosion, Collapse and Underground, if applicable to the hazards of a specific project.)	\$1,000,000 per Occurrence \$2,000,000 Aggregate
Business Automobile Liability	\$1,000,000 CSL
Workers' Compensation OR Employer's Liability	Statutory \$500,000 Each Accident \$500,000 Each Disease- Policy Limit \$500,000 Disease/Each Employee

D. It is understood and agreed that these policies are primary and not contributory. All policies required under this Agreement shall be in effect for the duration of this Agreement. It shall be an affirmative obligation upon the Lessee to immediately notify in writing the city risk manager, city clerk, and city attorney of any fact, circumstance, or occurrence that has resulted in or may result in the cancellation or substantive change of any insurance coverage required by this Agreement, and failure to do so shall be construed to be a breach of this Agreement.

E. The City of Cheyenne shall be named as an additional insured on the insurance policies to be provided by the Lessee, except workers' compensation, and the Lessee shall provide a copy of the endorsements providing this coverage.

F. The City has the right to reject a certificate of insurance if an insurance company providing coverage under this Agreement is widely regarded in the insurance industry as financially unstable. Any insurance company providing coverage under this Agreement shall have a minimum A.M. Best rating of A- (excellent).

G. The City has the right to increase the required minimum limit of liability on any contract project as warranted by an increase in hazard. Examples of increased hazard include, but are not limited to:

- i. Handling of hazardous materials;
- ii. Activities involving large congregations of people.

H. The City shall have the right to consult with the Lessee's insurers and insurance agents for disclosure of relevant policy information, but the City's failure to request or review such policies, endorsements, or certificates shall not affect the City's rights or the Lessee's obligations hereunder. Disclosure of relevant policy information would specifically involve, but is not limited to:

- i. Exclusions;
- ii. Deductibles; and
- iii. Claims in progress which could significantly reduce the annual aggregate limit.

I. The Lessee will be responsible for securing insurance on any personal property owned by the Lessee and others, which will be located in or on the demised premises.

J. The Lessee will report any damage to the demised premises or to any improvements located on the demised premises to the City. The Lessee will also advise the City of any liability claim against the Lessee arising out of this Agreement or the use of the demised premises.

11. ASSIGNMENT AND SUBLETTING. The Lessee shall not assign, transfer, mortgage, pledge, or sublet its rights in this Agreement nor grant any concession hereunder, in whole or in part, without the prior written consent of the City.

12. DEMOLITION OR RELOCATION OF DEMISED PREMISES. In the event that the City decides to demolish the Van Tassell Carriage House, it is mutually agreed that this Agreement shall be automatically terminated. If, however, the City moves the Van Tassell Carriage House from its present location to a nearby location, and the building remains in a suitable condition for use by the Lessee, this Agreement shall continue in full force and effect for the new location upon mutual written agreement between the parties.

13. COOPERATION. The Lessee agrees to fully cooperate with the other users in connection with all activities relating to the demised premises in a prompt and timely fashion. The City shall be the final arbiter of whether cooperation has and is occurring as intended by this paragraph. Failure of the Lessee to cooperate with other users shall, in the discretion of the City, be determined a material breach of this Agreement.

14. COMPLIANCE WITH LAWS. The Lessee covenants that it will use the demised premises in accordance with all applicable laws and ordinances.

15. NON-DISCRIMINATION. The Lessee does not discriminate or recruit on the basis of race, religion, ethnicity, sexual orientation, socioeconomic status, national origin, or physical or developmental disability.

16. EEOC AND ADA COMPLIANCE. All parties to this Agreement assure that no person shall be excluded from participation in, denied the benefits of, or otherwise discriminated against, in connection with the award or performance of this Agreement on the grounds of race, color, disability, national origin, or sex. The parties further assure that they will include the language of this paragraph in all agreements associated or connected in any way with this Agreement and shall cause all existing agreements to similarly include this clause therein.

The Lessee must comply fully with all requirements of the Equal Employment Opportunity Commission (EEOC) and the Americans with Disability Act (ADA) in the same manner as is expected from the City. If the Lessee or its employees or subcontractors are found in violation of these requirements, this Agreement may be terminated. The Lessee shall be responsible for all such non-compliant action and shall defend, hold harmless, and indemnify the City therefrom.

17. DRUG-FREE WORKPLACE. In compliance with the Drug-Free Workplace Act of 1988, the City of Cheyenne has established an “Alcohol and Controlled Substance Policy” that pertains to alcohol and drug usage by City employees. All independent contractors under contract with the City and its employees and subcontractors are required to comply with the provisions of this policy for drug and/or alcohol usage on City property or other sites occupied by the contractor while performing the duties and responsibilities of the contract. It is the responsibility of the Lessee to become familiar with the requirements of this policy and to inform all employees and subcontractors of their obligations to comply and to ensure their compliance therewith. If the Lessee or its employees or subcontractors are found in violation of this policy, this Agreement may be terminated. The Lessee is an independent contractor and shall comply with the City’s Alcohol and Controlled Substance Policy.

18. RIGHT OF INSPECTION. The City reserves and retains for its officers, employees, and authorized representatives the full and unrestricted right to enter the demised premises for the purpose of inspecting or protecting the demised premises.

19. CANCELLATION AND TERMINATION.

A. The City or Lessee may cancel and terminate this Agreement, with or without cause, and without liability, by any party giving thirty (30) days written notice to cancel and terminate to all other parties. Upon such notice, the City may repossess, and the Lessee shall peacefully surrender the premises to the City.

B. Notwithstanding any other provision of this Agreement, in the event the Lessee shall engage in any activity or practice that is prohibited by this Agreement, the City may, in lieu of termination of this Agreement, order the Lessee to forthwith cease and desist from such activity or practice. In the event the Lessee fails to comply with any such order, the City may terminate this Agreement as provided in this section.

20. INDEMNITY. The Lessee agrees to defend, hold harmless, and indemnify the City, its officials, employees, and authorized volunteers against any and all claims and costs, including attorney's fees, arising out of the negligence of the Lessee, its agents, employees, and volunteers, including any and all claims for premises liability, and for any and all other claims excepting those claims arising out of or resulting from the negligence of the City, its officials, employees, or authorized volunteers.

21. GOVERNMENTAL IMMUNITY. The City of Cheyenne expressly reserves all immunities and defenses with respect to any claim arising out of this Agreement pursuant to the Wyoming Governmental Claims Act, Wyo. Stat. § 1-39-101, *et seq.*, and other applicable law.

22. WAIVERS. No waiver or default by the Lessee of any of the terms, covenants, or conditions hereof to be performed, kept, and observed by the Lessee shall be construed as, or

operate as, a waiver by the City of any subsequent default of any of the terms, covenants, or conditions herein contained to be performed, kept, and observed by the Lessee.

23. SURRENDER AND HOLDING OVER. The Lessee covenants that at the expiration of the period for which the demised premises are leased to it, or at the earlier termination of the letting thereof, it will quit and surrender said premises in good state and condition, reasonable wear and tear excepted. Should the Lessee hold over the use of or continue to occupy the demised premises after expiration of the Agreement, such holding over will be as a tenant at sufferance for which use it shall be liable for any and all damages resulting from such tenancy.

24. QUIET ENJOYMENT. The City covenants for itself, its successors and assigns that the Lessee, upon payment of the rent and performance of the Lessee's other covenants herein, shall and may peaceably and quietly have, hold, and enjoy the demised premises during the term of this Agreement except as herein provided.

25. NOTICES. Any notices required or given hereunder shall be given by first class mail, addressed to the respective addresses below, or such other address as may be specified in writing from time to time:

<u>CITY</u>	<u>LESSEE</u>
City of Cheyenne City Clerk's Office 2101 O'Neil Avenue Cheyenne, Wyoming 82001	Cheyenne Artist Guild, Inc. 1701 Morrie Avenue Cheyenne, Wyoming 82001

26. TERMINATION OF AGREEMENT UPON CONDEMNATION - RENT APPORTIONMENT ENTIRE AWARD TO CITY. If the demised premises, or any part thereof, is taken by eminent domain or sold under the threat of the exercise of said power (all of which are herein called "condemnation"), this Agreement shall expire on the date when the demised

premises shall be so taken, and the rent shall be apportioned as of that date. The City shall have the exclusive right to receive as its sole and separate property any sums awarded as result of the taking or sale of the demised premises by or under threat of condemnation and all compensatory damages that may be awarded based on the diminution in value or loss of use of adjacent City property.

27. OTHER AGREEMENTS.

A. Declaration of Governing Law. This Agreement shall be governed by, construed, and enforced in accordance with the laws of the State of Wyoming.

B. Plural, Singular, Gender to be Read in Context. Any word contained in the text of this Agreement shall be read as the singular or the plural and as the masculine, feminine, or neuter gender as may be applicable in the particular context.

C. Joint and Several Obligations of Lessees, Partners. If there is more than one party tenant, the covenants of the Lessee shall be the joint and several obligations of each party. If the Lessee is in a partnership, the covenants of the Lessee shall be the joint and several obligations of each of the partners and the obligations of the firm.

D. Binding Effect on Parties, Representatives, Successors, and Assigns. The provisions of this Agreement shall be binding on and inure to the benefit of the parties, their legal representatives, successors, and permitted assigns.

E. Parties Have Relationship of Landlord and Tenant - Not Principal - Agent, Partners, or Joint Venturers. Nothing contained in this Agreement shall be deemed or construed to create the relationship of principal and agent, or of partnership or of joint venture, or of any association whatsoever between the City and the Lessee, it being expressly understood and agreed that neither the computation of rent nor any other provisions contained in this Agreement nor any act or acts of the parties hereto shall be deemed to create any relationship between the

City and the Lessee other than the relationship of landlord and tenant.

F. Captions for Convenience - Not Part of Agreement - Not to Limit or Amplify Agreement. The captions of this Agreement are for convenience only, are not a part of the Agreement, and do not in any way limit or amplify the terms and provisions hereof.

G. Prior Representations Incorporated into Agreement- No Representations, Warranties, or Promises by Landlord, Agents, or Representatives. All negotiations, considerations, representations, and understandings between the parties are incorporated in this Agreement, and the Lessee acknowledges that the City, its agents and representatives, have made no representations, warranties, or promises with respect to the building, the surrounding land, or the demised premises except as may be expressly set forth herein.

H. Entire Agreement - Modification in Writing, Signed and Delivered by Both Parties. This Agreement contains all of the agreements and representations between the parties. None of the terms of this Agreement shall be waived or modified to any extent, except by a written instrument signed and delivered by both parties.

I. Severability of Invalid or Unenforceable Clause - Remainder of Agreement Enforceable - Clause Applicable to Other Persons and Circumstances. If any clause, phrase, provision, or portion of this Agreement or the application thereof to any person or circumstance shall be invalid, or unenforceable under applicable law, such event shall not affect, impair, or render invalid or unenforceable the remainder of this Agreement, nor any other clause, phrase, provision, or portion hereof, nor shall it affect the application of any clause, phrase, provision, or portion hereof to other persons or circumstances.

28. EMBODIMENT OF AGREEMENT. This Agreement contains the entire understanding of the parties. There are no other terms or conditions, written or oral, concerning or controlling this matter. Time is of the essence hereof.

IN WITNESS WHEREOF, the parties to this Agreement, through their duly authorized representatives, have executed this Agreement on the days and dates set out below and certify that they have read, understood, and agreed to the terms and conditions of this Agreement.

CITY OF CHEYENNE

BY:

Date

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kristina F. Jones, City Clerk

CHEYENNE ARTIST GUILD, INC.

BY:

Date

Signature

Print Name

Title



EXHIBIT A
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